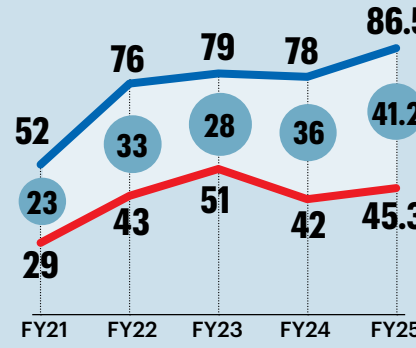
TRADE TROUBLES

On Aug. 27, the US officially imposed an additional 25% cess on Indian goods, adding to the existing 25% reciprocal tariffs

SIZE OF TRADE

India's imports from the US have not kept pace with its exports, resulting in a $41.2 billion surplus in FY25—much to Trump's chagrin

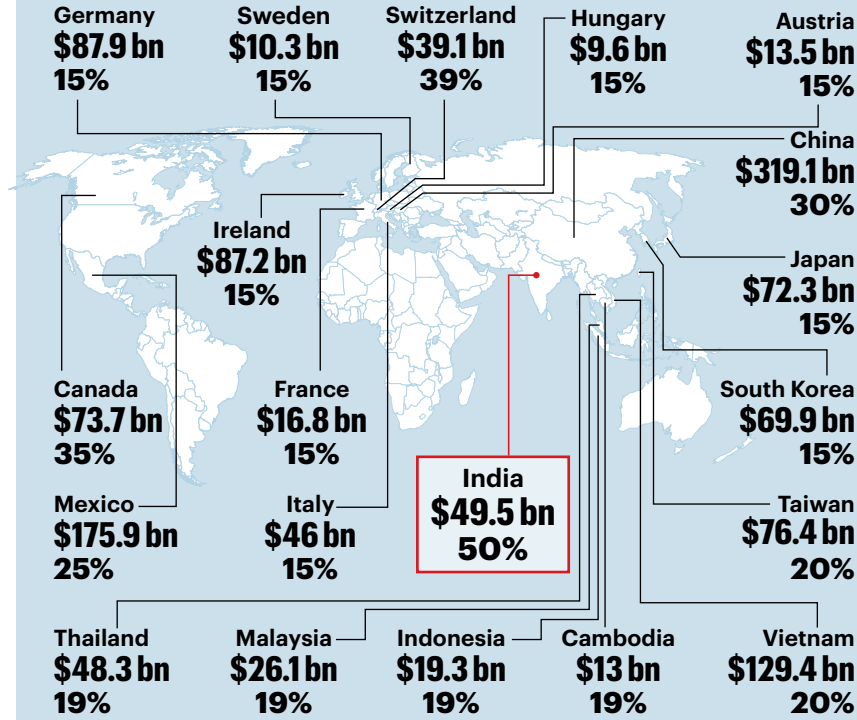


Source: Ministry of Commerce

A GLOBAL COMPARISON

Trump tariffs on countries with largest trade surplus vis-à-vis the US

NINE NATIONS HAVE HIGHER TRADE SURPLUS THAN INDIA BUT LOWER TARIFFS



Note: Brazil, too, faces a 50% tariff despite a $6.8 bn trade deficit with the US; all figures for 2024

Source: International Trade Centre

For 58-year-old Asad K. Iraqi, CEO of Kanpur-based footwear company AKI India Limited, Donald Trump's whims are upending a business he spent three decades building. From Kanpur's crowded lanes, he expanded AKI into a public listed company, with a registered office in Jajmau, and a tannery and footwear manufacturing unit in Akrampur, Unnao, employing 300 people in all. It sold footwear and leather goods under the brand Maplewood in India and Tresbon in the UK, while also producing for European labels like Solovair, a British heritage name. AKI's turnover touched Rs 75 crore in FY24. Exports to the US constituted 10 per cent of its total. In FY25, Iraqi had shipments worth nearly Rs 7.5 crore lined up for the American market. Now, finished goods lie waiting, undelivered, after US buyers backed out of their commitments. With no fresh orders coming in, Iraqi anticipates a 20 per cent decline in business this year.

Like Iraqi, thousands of Indian exporters with high stakes in the US are bracing for the worst. On August 27, the additional 25 per cent cess levied by the US administration on Indian goods as penalty for India's continued purchase of Russian oil kicked in. This was over and above the 25 per cent reciprocal tariffs that had come into effect 20 days earlier, as part of Trump's attempt to level the $41.2 billion (Rs 3.6 lakh crore) trade surplus in India's favour. The figures compiled by the Geneva headquartered International Trade Centre pegs it higher, at $49.5 billion (Rs 4.3 lakh crore) for 2024 (see *A Global Comparison*). According to India's commerce ministry, the country's exports to the US stood at $86.5 billion (Rs 7.6 lakh crore) in FY25, while it imported goods worth $45.3 billion (around Rs 4 lakh crore). With the cumulative 50 per cent levy, India now finds itself in the highest tariff bracket alongside Brazil. By contrast, China—despite being the largest buyer of Russian oil—faces only a 30 per cent duty. Key export rivals such as Indonesia, Thailand and Malaysia have